What are the political implications of these rather large shifts in relative economic capabilities? What difference do they make to international relations, now or in the future? More directly, what else, besides raw capabilities, turns a large and capable country into a great power? This section begins with a more detailed inquiry into the expansion of China's relative power capabilities. It then raises—without definitively answering—the questions of when and whether enhanced capabilities ought to be considered a shift to a new international strategic balance (i.e., to a bipolar or a bipolar-multipolar interstate system). The section closes with the observation that, thus far, the enhanced economic power of some of the BRICS, mainly Russia and China, has accompanied an equivalent expansion in their military capabilities.

In 2011, World Bank economists, led by the institution's first Chinese chief economist, Justin Yifu Lin, argued that "emerging markets" had finally "emerged," and optimistically foresaw the contributions of the BRICs and other large, fast-growing economies propelling a "great transformation in economic structure, power, and influence" toward a "new multipolar world economy."[67] Over the course of the next half-decade, China's performance met the World Bank's high expectations, while the other BRICs also progressed into the ranks of the trillion-dollar economies, but not without encountering strong headwinds. By the second decade of the twenty-first century, each of the BRICS is the largest and strongest country in its respective region.[68] Currently, the BRICS together comprise 42 percent of the world's population, while the G7 countries comprise 11 percent. Moreover, the BRICS contribute 17 percent of global merchandise trade, 13 percent of global commercial services, and 45 percent of the world's agriculture production.[69]

China's advances are especially notable for current and future economic and financial capabilities. These are surveyed next, and then considered comparatively in the BRICS context in the third section of this chapter. China and the BRICS do not need to close all the gaps with the United States and G7 to increase their influence as significant regional powers or to reach levels of development sufficient to achieve their collective financial statecraft ambitions.

First, China is likely to account for one-third to one-half of growth in both global incomes and trade.[70] Even with its growth tapering, it will continue to be the single biggest contributor to global trade in absolute terms. Some 13.8 percent of global trade originated in China in 2015, making it the largest exporter in the world, surpassing the United States (9.1 percent) and Germany (8.1 percent).[71] Richard Baldwin connects the dots from the previous discussion in this chapter about the G7's declining share of world GDP to the transformation of the globalization of trade. He shows that since about the late 1980s, communication costs have declined, allowing G7 innovations to spread through the offshoring of factories and massive knowledge flows through the simultaneous creation of global value chains (GVCs). As a result, the world went from the "Great Divergence" (1820–1990), when G7 innovations remained in the G7 and globalization was associated with rising G7 shares of world trade and income, to the "Great Convergence" (1990–present), when globalization worked differently and G7 shares of global income and exports plunged. During this latter period, North-South production sharing flourished, benefiting the G7 "knowledge owners" and developing-country—mostly Chinese—workers, helping bring hundreds of millions out of poverty in China and creating the world's largest middle class.[72] By 2010, the G7's share of world income shrunk to its 1900 level, while the group lost 24 percentage points of its share of global manufacturing from 1970 to 2010; and China rose 18 percentage points in the same period (with 16 points shifting since 1990).[73]

No longer possessing a low-cost advantage in many sectors, China is starting to move up the value chain to gain market share in higher-value goods, while its domestic market is absorbing a growing share of both services and manufacturing. China's substitution of domestic materials for imported by individual processing exporters caused China's domestic content in exports to increase to about 70 percent in 2007.[74] Such substitution was induced by the country's trade and investment liberalization, which deepened its engagement in GVCs and led to a greater variety of domestic materials becoming available at a lower price integration into global value chains. Liberalization encouraged intermediate input producers in China to expand their product varieties, and exporters in China started to buy more domestic intermediate inputs and rely less on imports.[75] Between 1993 and 2014, the share of Chinese exports made up of foreign-sourced parts slid from more than 60 percent to 35 percent.[76] Given that China's international manufacturing and trade position has been dismissed as merely "the assembler of the world,"[77] as illustrated by the famous iPod case, experts find it striking that China's trade pattern does not resemble Mexico's but instead is marked by reimporting relationships and activity at the "very upstream and very downstream ends."[78]